

Statistics

[Table 18.2](#) shows statistics for cloudbanks. I found cloudbank patterns in 371 stocks from January 1991 to October 2018. Let's go through the stats one at a time.

Number found. My hunt for cloudbanks found 439 patterns using the monthly scale only. The number isn't an average, even though it's in the average column in the table.

Cloud duration. The patterns I found are long, lasting almost three years (as measured from the start to before the big plunge) on average.

Drop from cloudbank to lowest low. The lowest low is point B in [Figure 18.3](#). For stocks that had price return to the cloudbank, it was the lowest low between the end of the cloud and the date the stock returned to the cloudbank. For those stocks not returning to the cloud, I used the lowest low to end of data (most of the time; sometimes price came close to returning to the cloud, so I used the low between that point and the cloud end).

The average drop from the base of the cloud to the lowest low was 68% in the stocks I looked at.

Drop for those that recovered/did not recover to the cloudbank. I measured the drop from the base of the cloudbank to the lowest low. For those stocks that saw price return to the cloud, the drop (cloud to lowest low) averaged 66%. For those that did not return (or haven't yet), the drop was larger, 82% on average. Thus, *if your stock has an unusually large drop (anything above 66%), you might want to avoid trading the cloudbank unless other stocks are showing similar drops.*

Number recovering to cloudbank. Most (86%) of the stocks I looked at showed price returning to the cloudbank. The others, like AIG ([Figure 18.3](#)), have run out of data before making the return trip.

Number climbing above cloudbank top. For those stocks in which price has returned to the bottom of the cloud, just 64% have pushed their way through overhead resistance and poked out above the top of the cloud.

Time to/through cloudbank. Here's an interesting statistic for clouds. It takes longer to rise through the cloud (2.8 years) than it does to move from